Vietnam: Politics will blunt privatization push

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Hanoi’s privatization drive will be capped by political resistance

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General Secretary To Lam’s plans for the partial privatization of state-owned enterprises (SOEs) are in line with aims to shift growth to the private sector, but party conservatives and vested interests will constrain both the pace and the scope of divestment.
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Vietnam's upgrade to emerging market status will bring foreign inflows, but excessive carve-outs and slow execution will dilute the intended market liberalization impact.
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Vietnam's largest and most liquid state banks—BIDV, Vietcombank, and VietinBank—are among companies excluded from the recent state capital classification framework, limiting the market impact of even an ambitious divestment program.

There is growing recognition in Hanoi of the need to revive SOE equitization plans. Since January, the government has introduced a number of guidelines that clarify processes for the partial privatization of SOEs, including most recently the criteria for classifying enterprises. A list of SOEs to be equitized in 2026–2030 is due in August (previously set for May), though government officials now have until early September to approve five-year plans for restructuring state capital at enterprises under their management. Some additional delays are possible, though officials are likely already working behind the scenes with the aim of quickly finalizing a list.

These firmer steps toward SOE equitization mark a sharp turn for Hanoi after earlier plans stalled since the Covid-19 pandemic. Only five enterprises fully completed equitization from 2021 to 2025.

An extensive equitization plan will help attract foreign investment and deepen the stock market. Large companies in banking, aviation, dairy, energy, and infrastructure have recorded sizable market capitalization gains after equitization. Vinamilk has been the most successful example, with a significant proportion of its stakes (about 39%) on the stock exchange (36% is held by the state while 25% is held by F&N Group). Its market capitalization has grown from about $200-$300 million shortly after listing to about $5-$6 billion today.

Investors increasingly view lower state ownership as essential to improving Vietnam's market appeal and attracting foreign capital—they are constrained by concentrated ownership and low levels of shares available to trade. For instance, only about 10% of Vietcombank and 4% of PetroVietnam Gas are tradable on the stock exchange.

FTSE Russell's upcoming reclassification of Vietnam will also support foreign portfolio inflows. Beginning 21 September, Vietnam will move from frontier market to secondary-emerging market status in four phases.

If the government protects too many names or moves too slowly, foreign passive funds tracking the upgraded FTSE index will struggle to find enough freely tradable Vietnamese shares. That will limit how much of the inflow translates into the market liberalization that the government intended.

Several SOEs will remain off-limits, but Lam will likely accelerate equitization plans for the rest. The number of SOEs fell to 695 by the end of 2025 from more than 12,000 in the early 1990s; the state has 100% ownership for 497 of these companies. Many of the remaining SOEs operate in strategically sensitive sectors. Lam has prioritized an ambitious economic agenda since gaining power and will seek to loosen Hanoi's grip on SOEs, in line with goals to shift growth to the private sector. However, he will face resistance from more conservative factions within the Communist Party of Vietnam, which favor firm state control.

In a set of criteria published in August (Decision 40), the government categorized industries by the required level of state ownership: 100%, 65% or more, and 50%–65%. Several industries remain slated for full state ownership, including companies in selected high-tech sectors, energy, food, the processing of strategic minerals, and those tied to national data infrastructure. The prime minister could also choose to keep any firm under complete state control, providing a way for more powerful ministries to keep their SOEs and satisfy vested interests. Notably, the military-run telecommunications conglomerate Viettel, alongside three state-owned commercial banks—BIDV, Vietcombank, and VietinBank—were excluded from this new state capital classification framework. Viettel's $2 billion in annual revenue is a significant source of income for the military. And the Ministry of Public Security, which Lam backs, is also unlikely to divest its shares in MobiFone (telecom, 100% ownership) and FPT Telecom (telecom and internet services, 50.2% ownership).

The criteria also listed industries open to partial privatization, including airport management (65% state ownership) and parts of finance and banking (65%). Shares in several publicly traded companies believed to be under these categories rose immediately on 7 August after the announcement, though the criteria did not provide a specific list of companies to be divested.

Broader governance and operational concerns will persist. Authorities are trying to strengthen governance standards across SOEs, including by separating the state's ownership role from day-to-day corporate management. However, those efforts will likely take years to produce results. The potential restructuring of the State Capital Investment Corporation into a sovereign wealth fund could help address some of these concerns. Although Hanoi has cited Singapore's Temasek as a model, any new entity will likely more closely resemble Indonesia's Danantara, which places greater emphasis on state development priorities.

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